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IN THE DISTRICT COURT OF THE FIRST CIRCUIT

HONOLULU DIVISION

STATE OF HAWAI‘I

ASSOCIATION OF APARTMENT OWNERS OF MARINE SURF WAIKIKI, INC., a Hawai‘i nonprofit corporation, by its Board of Directors, Plaintiff/Counterclaim Defendant vs. NIKODEM PIKOR, Defendant/Counterclaimant	Civil No. 1RC19-1-3776, FINDINGS OF FACT, CONCLUSIONS OF LAW, AND ORDER GRANTING PLAINTIFF/COUNTERCLAIM DEFENDANT'S MOTIONS FOR DIRECTED VERDICT
NIKODEM PIKOR, Third-Party Plaintiff vs. THYSSENKRUPP ELEVATOR CORPORATION, a foreign profit corporation, Third-Party Defendant.	Trial: May 12, 2022 October 26, 2022 October 27, 2022 January 11, 2023 January 12, 2023 April 5, 2023 Judge: Summer Kupau-Odo

FINDINGS OF FACT, CONCLUSIONS OF LAW, AND ORDER GRANTING PLAINTIFF/COUNTERCLAIM DEFENDANT'S MOTIONS FOR DIRECTED VERDICT

EXHIBIT
A

I do hereby certify that the foregoing is a full, true and correct copy of the official court record of the Courts of the State of Hawai`i.
Dated at: Honolulu, Hawai`i 31-JAN-2024, /s/ Lori Ann Okita, Clerk of the First Judicial Circuit, State of Hawai`i

Trial was held on Plaintiff/Counterclaim Defendant ASSOCIATION OF APARTMENT OWNERS OF MARINE SURF WAIKIKI, INC.'s ("the Association's") complaint and counts IV, VI, and VII of Defendant/Counterclaimant NIKODEM PIKOR's ("Pikor's) counterclaim,[1] with Glenn S. Horio and Yun W. Kim appearing for the Association on its affirmative claims, James R. Ferguson appearing for the Association on the counterclaim, and Amanda L. Dutcher appearing for Pikor. At the beginning of trial, the parties stipulated to the admission of a joint set of exhibits: "J1"[2] (including "J1A" to "J1Q") to "J30." During trial, the following exhibits were admitted into evidence: "P7," "P7A," and "D-CC."

The Association called five witnesses: Harold Hitchcock, Stuart Uchida, Charles Bigler, Chuck Decoito, and William Denison. Pikor testified and called one other witness, James Whitmore.

After the Association completed its presentation of evidence on its affirmative claims and Pikor completed his presentation of evidence on his counterclaim, and at the Association's opportunity to cross-examine Pikor, the Association orally moved for directed verdicts on its affirmative claims and Pikor's counterclaim. The Court heard argument on the two motions for directed verdict and took the matter under advisement for the parties to submit proposed findings of fact and conclusions of law.

The Court, having carefully considered the witnesses' testimonies and exhibits, as well as the arguments of the parties and their proposed findings of fact and conclusions of law, makes

[1] All other counts of Pikor's counterclaim were previously resolved by way of summary judgment in favor of the Association.

[2] "J1" is a video clip of the elevator incident at issue in this case.

the following findings of fact and conclusions of law, and grants the Association's motions for directed verdict.

FINDINGS OF FACT[3]

1. The Association is a Hawai'i corporation and an association of apartment owners that administers and operates the Marine Surf Waikiki condominium project located at the intersection of Kūhio and Seaside Avenues in Waikīkī, City and County of Honolulu, State of Hawai'i ("the Project"). The Project is governed by certain controlling documents: Marine Surf Waikiki Declaration of Horizontal Property Regime ("Declaration"); By-Laws of the Association of Apartment Owners of the Marine Surf Waikiki Condominium ("By-Laws"); and Marine Surf Waikiki Condominium Association of Apartment Owners House Rules ("House Rules") (collectively, "Governing Documents").

2. Pikor is an apartment/unit owner at the Project.

3. W. E. Denison Corporation, with William E. Denison as principal ("the Managing Agent"), serves as the Association's managing agent.

4. Harold Hitchcock ("the Building Manager") is the Association's building manager.

Relevant Provisions of the Project's Governing Documents

5. Paragraph L of the Declaration provides:

> L. COMPLIANCE WITH DECLARATION, BY-LAWS AND DECISIONS. All apartment owners, their tenants, families, servants and guests, and any other persons who may in any manner use the project or any part thereof, shall be bound by and comply strictly with the provisions of this Declaration, the by-laws of the

[3] To the extent these findings of fact contain conclusions of law, they shall be construed as such.

> Association and all agreements, decisions and determinations of the Association, as lawfully made or amended from time to time, and failure to comply with any of the same shall be grounds for an action to recover sums due, for damages or injunctive relief, or both, maintainable by the Managing Agent or Board on behalf of the Association, or, in a proper case, by an aggrieved apartment owner.

Ex. "J-3" (emphasis added).

6. Paragraph I of the Declaration provides, in relevant part:

> I. MANAGING AGENT. Operation of the project shall be conducted for the Association by a responsible corporate Managing Agent who shall be appointed by the Association in accordance with the by-laws. The Managing Agent is hereby authorized to receive service of legal process in all cases provided in said Horizontal Property Act.

Id.

7. Article II, Section 2 of the By-Laws provides, in relevant part:

> Section 2. Responsibilities. The Association shall have the responsibility of administering the project, approving the annual budget, establishing and collecting all assessments for common expenses and arranging for the direct management and operation of the project by a Managing Agent in accordance with the Declaration and these by-laws.

Ex. "J-2."

8. According to Paragraph A(2)(f) of the Declaration, the Project's "common elements" include "[t]wo automatic electric passenger elevators with elevator housing and appurtenant equipment[.]" Ex. "J-3."

9. Article VI, Section 6 of the By-Laws provides:

> Section 6. Rules of Conduct.
> . . . .
> (h) Nothing shall be allowed, done or kept in any apartments or common elements of the project which would overload or impair the floors, walls or roofs thereof, or cause any increase in the ordinary premium rates or the cancellation or invalidation of any

insurance thereon maintained by or for the Association, nor shall any noxious or offensive activity or nuisance be made or suffered thereon.

Ex. "J-2."

10. Of special import to this case, Article VI, Section 2 of the By-Laws provides:

> Section 2. Repair and Maintenance.
> . . . .
> (c) Every apartment owner shall reimburse the Association for any expenditures incurred in repairing or replacing any common elements or furniture, furnishings and equipment thereof damaged or lost through the fault of such apartment owner or any person using the project under him and shall give prompt notice to the Managing Agent of any such damage, loss or other defect when discovered.

Id. (emphasis added).

11. Article VI, Section 3 of the By-Laws provides:

> Section 3. Use of Project.
> . . . .
>
> (b) All common elements of the project shall be used only for their respective purposes as designed.
> . . . .
>
> (e) No apartment owner or occupant shall make or suffer any strip or waste or unlawful, improper or offensive use of his apartment or the project or alter or remove any furniture, furnishings or equipment of the common elements.

Id. (emphasis added).

12. Article VI, Section 9 of the By-Laws provides:

> Section 9. House Rules. The Board of Directors, upon notice to all apartment owners in the same manner as herein provided for notice of meetings of the Association and opportunity to be heard thereon, may adopt or amend any supplemental rules and regulations called House Rules, governing details of the operation and use of the common elements not inconsistent with any provisions of law, these by-laws or the Declaration.

Id.

13. As provided in the second and third paragraphs of the House Rules:

> . . . . All occupants and their guests are bound by these House Rules and by standards of reasonable conduct whether covered by these House Rules or not.
>
> . . . . In the event the Association incurs any expense due to the act, including acts of omissions and negligence, of any owner, occupant, tenant, guest, contractor or invitee of an owner, the owner shall be responsible for payment of the expense. This includes all expenses incurred by the Association for enforcing the House Rules.

Ex. "J-5" (House Rules approved/adopted October 27, 2015) (emphases added).

14. Part I, Section D of the House Rules defines "occupant" to include "any apartment owner." Id.

15. Part II, Section B of the House Rules provides: "Owners are individually financially responsible for any damage or destruction to common elements that they cause or their tenants, guests, agents or person working for them cause." Id. (emphasis added).

16. Part II, Section F of the House Rules provides:

> Advance notice must be given to the Managing Agent or the Front Office when household goods or large furniture items are to be moved in order that a padded elevator can be scheduled. Movement of large items in the elevator is limited to the hours of 8:00 A.M. to 4:30 P.M., Monday through Saturday.

Id.

17. Similar to Article VI, Section 2 of the By-Laws, Part VIII, Section F of the House Rules provides:

> Every owner shall reimburse the Association for any expenditures incurred in repairing damage to, or in preventing or attempting to prevent damage to the common elements or to furniture, furnishings, or other property of the Association or any other owner damaged or lost through the fault of such owner or the person using the project under him, and such owner shall give

> prompt notice to the Building Manager or any such damage, loss, or other defect when discovered.

Id. (emphasis added).

18. Part X, Section A of the House Rules provides: "Owners are individually financially responsible for any damage or destruction to common elements that they cause or their tenants, guests, agents or persons working for them cause."

Id.

19. Part XIII of the House Rules provides:

> XIII. ENFORCEMENT
> The violation of any House Rules adopted by the Board of Directors of the Marine Surf Association of Apartment Owners shall give the Board of Directors or its Agent, the right to enjoin, abate or remedy by appropriate legal proceedings, either at law or in equity, the continuance of any such breach, and all costs thereof, including attorneys' fees, shall be charged to and paid by the defaulting apartment owner.

Id.

The Elevator Incident

20. The Project has two passenger elevators, which are part of the Project's "common elements." The elevator at issue in this action is referred to as "elevator no. 1" ("Elevator 1") and the other elevator is referred to as "elevator no. 2" ("Elevator 2").

21. If owners want to use the elevators to move household goods or large furniture, they must inform the Building Manager, who then pads the elevators for protection. With such notice, the Building Manager can also set the elevator to "individual service," which allows the user to manually control the opening and closing of the doors. Elevator 2 is the elevator designated for movement of household goods and large furniture.

22. Elevator 1 has a set of car doors that move between floors with its car. The car doors are powered by motor to open and close automatically.

23. Attached to the car doors is a clutch. When Elevator 1's car lands at a floor, the clutch engages with pickup rollers attached to that floor's hoistway doors, and the two sets of doors "couple" together. This "coupling" allows the hoistway doors, which do not have a motor, to open and close congruently with the car doors, which do.

24. The car doors have sensors to detect objects crossing the elevator's threshold, to prevent the sets of doors from closing on people. The hoistway doors do not have sensors.

25. On the afternoon of May 9, 2018, Pikor used Elevator 1 to move household goods in multiple large, heavy storage bins. He did not give the Building Manager, the Managing Agent, nor the Front Office advance notice that he would be moving such items.

26. While at the basement level, Pikor unloaded three stacks of heavy storage bins, one stack at a time, by dragging them, due to their weight, out of Elevator 1.

27. Pikor left the third stack of two large, heavy storage bins stationary on Elevator 1's sill, blocking the hoistway doors, but not the car doors.

28. As the two sets of doors attempted to close, the hoistway doors, but not the car doors, made abrupt contact with the third stack of bins. With the bins obstructing their path, the hoistway doors stopped moving and could not close.

29. The car doors, however, continued to close because their sensors did not detect the obstruction blocking only the hoistway doors.

30. The impact between the stationary bins and the hoistway doors caused the two sets of doors to "decouple."

31. Defendant then moved the stack of bins out of Elevator 1's doorway. The car doors reopened, and because their clutch was now on the wrong side of the hoistway doors' pick-up rollers, the car doors pushed the hoistway doors off track. The hoistway doors ended up sitting flat on the basement floor, rendering Elevator 1 inoperable.

32. At the time Pikor used Elevator 1, it was operating as it should without any defects.[4]

33. Leaving two large, heavy storage bins stationary on Elevator 1's sill was not a proper use of Elevator 1 and caused the elevator's damage.

34. Leaving heavy storage bins stationary on the elevator sill is different from brief, light-contact encounters with objects in movement.

35. Elevator 1 is a passenger elevator, not a freight elevator. If Pikor had given the Building Manager the required advance notice that he would be moving large household items, Elevator 2, which is the elevator designated for moving such items, could have been set to independent service and the damage to Elevator 1 avoided.

36. On May 10, 2018, two service technicians from ThyssenKrupp Elevator Corporation ("ThyssenKrupp") fixed Elevator 1 and restored it to service. Two technicians were needed to put the hoistway doors back on track because each door weighed 70 lbs.

The Association's Demands for Reimbursement and Pikor's Refusals to Pay

37. ThyssenKrupp billed the Association $2,260.15 to repair Elevator 1. The Association paid ThyssenKrupp in full.

[4] The testimony of the Association's expert witness, Charles Bigler, was more credible than the testimony of Pikor's expert witness, James Whitmore.

38. On May 29, 2018, by letter, the Managing Agent asked Pikor to reimburse the Association the cost of repairing Elevator 1 and enclosed a copy of the ThyssenKrupp invoice. The letter stated: "Our review of the Marine Surf's surveillance camera video recordings show that the damage was clearly caused by you on May 9, 2018, at 3:11 PM, as you were moving 7 large plastic storage containers off the elevator in the basement." Ex. "J-20." The letter also quoted Article VI, Section 2(c) of the By-Laws:

> Every apartment owner shall reimburse the Association for any expenditures incurred in repairing or replacing any common elements or furniture, furnishings and equipment thereof damaged or lost through the fault of such apartment owner or any person using the project under him and shall give prompt notice to the Managing Agent of any such damage, loss or other defect when discovered.

Id.

39. On June 20, 2018, Pikor emailed the Managing Agent and Building Manager, expressing his "surprise" at the reimbursement request, and asking to review the surveillance camera footage. See Ex. "J-16" & "J-19" (Pikor Depo. Ex. 4).

40. Pikor reviewed the video recording with the Managing Agent and denied liability.

41. Between June and November 2018, the parties exchanged letters and emails, with the Association demanding payment and Pikor denying liability and refusing to pay. See Ex. "J-6" to "J-13," "J-16" & "J-21."

42. In an email dated July 2, 2018, Pikor stated: "I am honestly shocked and deeply disappointed with the attempt to put financial responsibility on me in this situation. I believe it is outrageous. Almost extortion. I can only hope the 'payment request letter' will be soon retracted and deemed a mistake." Ex. "J-21."

43. In an email dated July 3, 2018, Pikor admitted he caused the damage to Elevator 1, but denied liability: "Have I been involved? Yes. Has my direct action caused the incident? Yes. Is there any culpability? Absolutely not. Why? Because I used this elevator exactly how it is supposed to be used." Ex. "J-16" & "J-27."

44. At a Board of Directors meeting in July or August 2018, Pikor told the Board: "I will not pay a penny, you'll have to sue me for it."

45. In August 2018, Pikor contacted an elevator consultant, Jared Okamura of Innovative Elevator Consulting, Inc. ("Okamura"), for "an objective and independent assessment of [the] CCTV footage." See "J-16," "J-19" (Pikor Depo. Ex. 3) & "J-28." After reviewing the video, on August 21, 2018, Okamura emailed Pikor, stating, in part:

> [A]lthough your actions were not malicious, the fact is your storage containers were placed in a very inopportune location which caused the outer elevator doors (hoistway doors) to hit them, causing the doors to uncouple from the inner doors (car doors). There is a clutch which couples the inner and outer doors to make them operate in sync. Once the outer doors were uncoupled, the doors will then be knocked off track and will require a technician to get them back on track and related again.
> . . . . From what I can tell, there is no evidence of lack of maintenance or adjustment issues.

Id. Okamura also emailed his assessment to the Managing Agent, who took it to be consistent with the Association's determination. Pikor, however, was unconvinced and maintained he was not responsible for the debt.

46. On October 17, 2018, a tenant of the Project drove his electric scooter into the doors of Elevator 1 as the doors were closing. See Ex. "D-CC." The doors came off track and ThyssenKrupp was called to repair the elevator. The Association did not tell Pikor about this incident in subsequent communications with him.

47. In the Association's November 2, 2018 letter, in response to Pikor's "denial and/or dispute of the Association's demand for reimbursement of the repair costs and the legal fees and costs incurred by the Association," the Association directed Pikor's attention to parts of the Governing Documents, including the house rule that requires advance notice be given to the Managing Agent or Front Office when household goods or large furniture items are to be moved in order than an elevator can be scheduled for use. Ex. "J-13."

48. In that same letter, the Association demanded that Pikor pay attorneys' fees and costs, stating:

> HRS § 514B-157 provides that all costs and expenses, including reasonable attorneys' fees, incurred by or on behalf of the Association in enforcing any provision of the Governing Documents and HRS, Chapter 514B against an owner, occupant, tenant, employee of an owner, or any other person who may in any manner use the property, shall be promptly paid on demand to the Association by such person or person. Accordingly, you are liable for the attorneys' fees and costs incurred by the Association in connection with the violations of the Governing Documents noted herein. Additionally, the Association is entitled to recover fees under HRS § 607-14. See also, Paragraph L. COMPLIANCE WITH DECLARATION, BY-LAWS AND DECISIONS, of the Declaration and Section XI. Enforcement, of the House Rules.

Id.

49. Pikor has not reimbursed the Association the cost of Elevator 1's repairs.

50. At all times the Association demanded Pikor pay for the elevator damage, it had sufficient reason to believe Pikor was at fault for the damage based on the surveillance video, and no further investigation was necessary.

51. None of the Association's representations to Pikor – including both verbal and written communications by its Managing Agent, Board of Directors, and legal counsel – were false. The Association did not provide Pikor false information.

52. The Association did not have to tell Pikor about the scooter incident because its knowledge of the incident did not alter the truth about what occurred during Pikor's incident – that he damaged Elevator 1 by misusing it.

53. None of the Association's acts or practices were unfair or deceptive.

54. The Association did not act negligently in any way.

55. The Association's conduct in demanding payment from Pikor was not intentional, reckless, or outrageous.

56. Pikor experienced shock, disbelief, and anger upon being asked to reimburse the Association for Elevator 1's repair cost, but this was not extreme or serious emotional distress.

CONCLUSIONS OF LAW[5]

The Association's Claims

1. The Project's operation is governed by HRS chapter 514B, the Declaration, and the Bylaws. HRS § 514B-131.

2. Chapter 514B empowers the Association to "[r]egulate the use, maintenance, repair, replacement, and modification of common elements[.]" HRS § 514B-104(a)(6).

3. Unit owners, including Pikor, must "comply strictly with the covenants, conditions, and restrictions set forth in the" Governing Documents. HRS § 514B-112(c). "Failure to comply with any of the same shall be grounds for an action to recover sums due, for damages or injunctive relief, or both[.]" Id. The Declaration contains similar provisions. See supra FOF No. 5.

[5] To the extent these conclusions of law contain findings of fact, they shall be construed as such.

4. The Declaration deems Elevator 1 a "common element." See supra FOF No. 8. According to the By-Laws: "All common elements of the [P]roject shall be used only for their respective purposes as designed." See supra FOF No. 11. As designed, Elevator 1 is a passenger elevator. See supra FOF Nos. 20 & 35.

5. Central to this case, the By-Laws provide:

> Section 2. Repair and Maintenance.
> . . . .
> (c) Every apartment owner shall reimburse the Association for any expenditures incurred in repairing or replacing any common elements or furniture, furnishings and equipment thereof damaged or lost through the fault of such apartment owner or any person using the project under him and shall give prompt notice to the Managing Agent of any such damage, loss or other defect when discovered.

See supra FOF No. 10 (emphasis added).

6. The parties do not dispute, and the Court finds and concludes, that Elevator 1 is a common element that was damaged and the Association incurred expenses to repair it:

a. The Elevator was damaged when its hoistway doors decoupled from the car doors and went off track, rendering Elevator 1 inoperable; and

b. The Association incurred a $ 2,260.15 debt from, and paid that amount to, ThyssenKrupp for two technicians to repair Elevator 1 and restore its operation.

See supra FOF Nos. 30, 31, 36 & 37.

7. The Association's claims turn on whether Elevator 1 was damaged "through the fault of" Pikor.

8. The Association argues Pikor's "use of the Elevator constituted 'misuse' and/or misconduct." Association's Proposed COL Pt. I, ¶S.

9. Pikor argues that for liability to attach, a showing of negligence is required. See Pikor's Proposed COL Nos. 163-196. He offers two Black's Law Dictionary definitions of "fault":

a. "An error or defect of judgment or of conduct; any deviation from prudence or duty resulting from inattention, incapacity, perversity, bad faith, or mismanagement. See NEGLIGENCE. Cf. LIABILITY"; and

b. "Civil Law. The intentional or negligent failure to maintain some standard of conduct when that failure results in harm to another person." [6]

10. Merriam-Webster defines "fault," in relevant part, as "responsibility for wrongdoing or failure," and "mistake."[7]

11. Similarly, the Oxford Languages Dictionary defines "fault," in relevant part, as "a misguided or dangerous action or habit" and "responsibility for an accident or misfortune."[8]

12. Applying any of the aforementioned definitions of "fault" yields the same conclusion: Elevator 1 was damaged "through the fault" of Pikor.

13. On May 9, 2018, Elevator 1 was operating as it should, without any defects. See supra FOF No. 32. Pikor caused the damage to Elevator 1 by leaving heavy storage bins stationary on Elevator 1's sill, blocking the hoistway doors, which is not a proper use of Elevator 1, nor a purpose for which Elevator 1, a passenger elevator, as opposed to a freight elevator, was designed. See supra FOF Nos. 25-35.

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[6] Pikor's Proposed COL No. 172 (quoting Black's Law Dictionary 641 (8th ed. 2004)).

[7] Merriam-Webster Dictionary, at https://www.merriam-webster.com/dictionary/fault.

[8] Oxford Languages Dictionary, last accessed via Google Jan. 25, 2024.

14. Pikor also failed to give the required advance notice of the move in order to avoid damage to Elevator 1. See supra FOF Nos. 16 & 25. If Pikor had given the Building Manager advance notice of his move of multiple large, heavy storage bins, Elevator 2, which is the elevator designated for moving such goods, could have been set to independent service and the damage to Elevator 1 prevented. See supra FOF No. 35.

15. Pikor's actions constituted "wrongdoing," a "mistake," and were "misguided." They also exhibited an error of judgment and conduct.

16. Although Pikor did not intend for the two sets of doors to decouple and the hoistway doors to go off track, he misused Elevator 1 and caused its damage. Pikor is at "fault" for the damage to Elevator 1.

17. It may be that many people misuse elevators in the way Pikor did without ever having to pay any repair costs. Pikor, however, as a unit owner at the Project, had a duty to not use Elevator 1 in the way that he did.

18. Pursuant to the Governing Documents and HRS § 514B-112(c), Pikor must reimburse the Association the cost it incurred to have Elevator 1 repaired and restored to service.

Counterclaim Count IV: Negligent and Intentional Misrepresentation

19. The elements of negligent misrepresentation are:

> (1) false information be supplied as a result of the failure to exercise reasonable care or competence in communicating the information; (2) the person for whose benefit the information is supplied suffered the loss; and (3) the recipient relies upon the misrepresentation."

Santiago v. Tanaka, 137 Hawai'i 137, 153-54, 366 P.3d 612, 628-29 (2016) (citations omitted).

20. The elements of intentional misrepresentation are:

> (1) false representations were made by defendants; (2) with knowledge of their falsity (or without knowledge of their truth or falsity); (3) in contemplation of plaintiff's reliance upon these false representations; and (4) plaintiff did rely upon them.

Ass'n of Apt. Owners v. Venture, 115 Hawai'i 232, 263, 167 P.3d 225, 256 (2007) (cleaned up).

21. The Association did not supply Pikor with false information, nor make any false representations to him. Therefore, Pikor did not prove the first elements of negligent and intentional misrepresentation.

22. As for the scooter incident, the Association's knowledge of that separate incident did not render its subsequent representations to Pikor false (by not mentioning it) when the surveillance video clearly showed he was at fault for the damage he caused to the elevator.

Counterclaim Count VI: Chapter 480, Hawai'i's Unfair or Deceptive Acts or Practices ("UDAP") Law

23. "Any consumer who is injured by any unfair or deceptive act or practice forbidden or declared unlawful by [HRS] section 480-2 . . . [m]ay sue for damages sustained by the consumer[.]" HRS § 480-13(b)(1).

> To recover damages for a violation of the UDAP statute's prohibition on unfair or deceptive acts or practices, a consumer must prove (1) either that the defendant violated the UDAP statute (or that its actions are deemed to violate the UDAP statute by another statute), (2) that the consumer was injured as a result of the violation, and (3) the amount of damages sustained as a result of the UDAP violation.

Kawakami v. Kahala Hotel Investors, LLC, 142 Hawai'i 507, 519, 421 P.3d 1277, 1289 (2018).

24. The elements of a claim of unfair or deceptive acts or practices are: (1) plaintiff is a consumer; (2) defendant engaged in an act or practice that was unfair or deceptive; (3) the unfair or deceptive act or practice occurred in the conduct of trade or commerce; and (4) the

unfair or deceptive act or practice was a legal cause of damages to plaintiff. See HRS §§ 480-1, 480-2, 480-13; Hawai‘i Pattern Jury Instructions – Civil 19.1.

25. An act or practice is unfair if it (1) offends public policy, (2) is immoral, unethical, oppressive, or unscrupulous, or (3) is substantially injurious to consumers. See Hawaii Cmty. Fed. Credit Union v. Keka, 94 Hawai‘i 213, 228, 11 P.3d 1, 216 (2000); State ex rel. Shikada v. Bristol-Myers Squibb Co., 152 Hawai‘i 418, 445, 526 P.3d 395, 422 (2023) (clarifying that meeting any one of the three criteria supports an unfair acts or practices UDAP claim).

26. "A deceptive act or practice is (1) a representation, omission, or practice that (2) is likely to mislead consumers acting reasonably under the circumstances where (3) the representation, omission, or practice is material." Hungate v. Law Office of David B. Rosen, 139 Hawai‘i 394, 411, 391 P.3d 1, 18 (2017) (abrogated on other grounds, State ex rel. Shikada, 152 Hawai‘i 418, 526 P.3d 395) (quoting Courbat v. Dahana Ranch, Inc., 111 Hawai‘i 254, 262, 141 P.3d 427, 435 (2006)) (cleaned up). "A representation, omission, or practice is material if it involves information that is important to consumers and, hence, likely to affect their choice of, or conduct regarding, a product." Id. (cleaned up). "The test to determine deceptiveness is an objective one, turning on whether the act or omission is likely to mislead consumers as to information important to consumers in making a decision regarding the product or service. Proof of actual deception is unnecessary." Id. (cleaned up).

27. Whether a practice constitutes an unfair or deceptive practice is ordinarily a question of fact. See id. at 410, 391 P.3d at 17.

28. The Association did not commit any unfair or deceptive act or practice in demanding that Pikor pay a debt he owed it.

29. Pikor contends it was unfair and deceptive for the Association "to change its theory of its liability against Mr. Pikor over the course of its repeated demands, including waiting until after it files a complaint to assert that Mr. Pikor is liable for the TKE bill because he failed to reserve the elevator on the day of the incident." Pikor's Proposed COL No. 202. The Association did not change its theory of liability. It did not wait until after filing this suit to raise Pikor's failure to reserve the elevator. The Association's November 12, 2018 letter directed Pikor to the house rule that required him to reserve the elevator before moving household goods or large furniture items. See Ex. "J-13."

30. Pikor argues: "Repeatedly representing to Mr. Pikor that he was responsible for the [Association's] attorneys' fee was deceptive and unfair because there was no adjudication regarding the [Association's] entitlement to fees and the [Association] omitted that per the very statute the lawyers quote they can only get fees for some issues if they prevail, and the lawyers omitted the inconvenient truth that if the [Association] doesn't prevail, the [Association] will be paying Mr. Pikor's claims." Pikor's Proposed COL No. 205 (some emphasis in original, some added).

31. The Association's demand for attorneys' fees was not deceptive. It cited HRS § 514B-157 and tracked the language of the subsection that supported the demand, (a)(3). See supra FOF No. 48 (quoting Ex. "J-13").

32. HRS § 514B-157(a)(3) provides:

> All costs and expenses, including reasonable attorneys' fees, incurred by or on behalf of the association for . . . [e]nforcing any provision of the declaration, bylaws, house rules, and this chapter . . . against an owner, occupant, tenant, employee of an owner or any other person who may in any manner use the property, shall be promptly paid on demand to the association by such person or persons; provided that if the claims upon which the association takes any action are not substantiated, all costs and expenses,

> including reasonable attorneys' fees, incurred by any such person or persons as a result of the action of the association, shall be promptly paid on demand to such person or persons by the association.

(Emphasis added.)

33. The Association's demand that Pikor pay attorneys' fees (it incurred in enforcing the Governing Documents and HRS chapter 514B) without an "adjudication" regarding "entitlement to fees" was not likely to mislead Pikor because the Association did not have to "prevail" in court before it could make the demand. According to a plain reading of HRS § 514B-157(a)(3), reasonable attorneys' fees incurred by an association to enforce governing documents and chapter 514B against an owner "shall be promptly paid on demand to the association by such person or persons[.]" (Emphasis added.) HRS § 514B-157(a) does not require associations to seek an award of attorneys' fees in court. Cf. Pendleton v. Ass'n of Apt. Owners of Kahala Towers, 153 Hawai'i 126, 140, 527 P.3d 462, 476 (2023) ("The unit owner is not required under [HRS § 514B-157(a)] to seek an award of costs and fees in a court action filed by the association (or by the unit owner)." (Emphasis in original.))

34. Moreover, "consumers acting reasonably under the circumstances" of adamantly disputing an association's claim for reimbursement would read for themselves any attorneys' fees statute cited in the association's demand. Hungate, 139 Hawai'i at 411, 391 P.3d at 18. It was sufficient for the Association to cite the statutory authority for the demand. The "omission" of the remaining parts of HRS § 514B-157 was not a UDAP deceptive act.

35. Finally, the Association's demand for attorneys' fees was not unfair. It did not offend public policy, was not immoral, unethical, oppressive, or unscrupulous, and was not substantially injurious to Pikor.

Counterclaim Count VII: Negligent and Intentional Infliction of Emotional Distress ("NIED" & "IIED")

36. The elements of NIED are: (1) negligent conduct by the defendant; (2) plaintiff's suffered serious emotional distress; (3) defendant's negligent conduct was the legal cause of the serious emotional distress; and (4) physical injury to a person, property, or a mental illness. Morioka v. Lee, CAAP-13-0001761, memo. op. at 21-22 (App. Aug. 27, 2014).

37. Pikor did not prove any negligent conduct on the part of the Association, and although he experienced shock, disbelief and anger toward the Association for its demands that he pay for the elevator damage, this did not amount to serious emotional distress.

38. The elements of IIED are: (1) that the conduct allegedly causing the harm was intentional or reckless; (2) that the conduct was outrageous; and (3) that the conduct caused (4) extreme emotional distress to another. Goran Pleho, LLC v. Lacy, 144 Hawai'i 224, 237, 439 P.3d 176, 189 (2019).

39. Recovery for IIED is permitted only if the alleged tortfeasor's acts were "unreasonable." Ross v. Stouffer Hotel Co., 76 Hawai'i 454, 465, 879 P.2d 1037, 1048 (1994) (citations omitted). An act is "unreasonable" if it is without just cause or excuse and beyond all bounds of decency. Id. The act complained of must "outrageous." Id. (citation omitted).

40. Pikor did not prove any intentional, reckless, or outrageous conduct on the part of the Association. He also did not suffer extreme emotional distress.

ORDER GRANTING PLAINTIFF/COUNTERCLAIM DEFENDANT'S MOTIONS FOR DIRECTED VERDICT

IT IS HEREBY ORDERED:

1. As to the Association's complaint, its motion for directed verdict on its affirmative claims is granted. The Association is awarded judgment in the amount of $2,260.15.

2. As to Pikor's counterclaim counts IV, VI, and VII, the Association's motion for directed verdict is granted. Counterclaim counts IV, VI, and VII are dismissed with prejudice.

Dated: Honolulu, Hawai'i, January 31, 2024.

/s/ *Summer Kupau-Odo*
Summer Kupau-Odo
Judge of the District Court of the
First Circuit

NOTICE OF ELECTRONIC FILING

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Filing Parties:
Case Type: Regular Claim
Lead Document(s):
Supporting Document(s): 396-Findings/Fact Concl of Law-Ord
Document Name: 396-Findings of Fact, Conclusions of Law, and Order Granting Plaintiff Counterclaim Defendant Motions for Directed Verdict

If the filing noted above includes a document, this Notice of Electronic Filing is service of the document under the Hawai`i Electronic Filing and Service Rules.

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The following parties need to be conventionally served:
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I do hereby certify that the foregoing is a full, true and correct copy of the original record of the Courts of the State of Hawai`i.
Dated at: Honolulu, Hawai`i 31-JAN-2024, /s/ Lori Ann Okita, Clerk of the First Judicial Circuit, State of Hawai`i